

Inventory Management Policy

Document No: POL-INV-01 | Effective Date: 01-Jul-2025 | Version 1.1

1. Purpose

This policy establishes rules for stock control, replenishment, cycle counting and inventory valuation across VOLTORA's single production-unit-and-warehouse pair in Kochi, to minimize stockouts and excess inventory.

2. Inventory Classification (ABC Analysis)

Class A items (high value, e.g. Solar LED Street Lights, Mini UPS) are reviewed weekly.

Class B items (Power Banks, Smart Switches, Wi-Fi Smart Plugs, IoT Sensor Modules) are reviewed bi-weekly.

Class C items (LED Bulbs, LED Tube Lights, Mobile Chargers, USB Fast Chargers - high volume, low unit value) are reviewed monthly and ordered in bulk to reduce ordering frequency.

3. Reorder Policy

Each SKU is assigned a Reorder Level based on average monthly usage and supplier lead time. When on-hand stock falls at or below the reorder level, a Purchase Requisition or Production Order is triggered.

4. Cycle Counting

Class A items are cycle counted monthly, Class B items quarterly, and Class C items semi-annually. Discrepancies greater than 2% of counted quantity require an Inventory Adjustment Report and root-cause investigation.

5. Slow-Moving & Dead Stock

Items with no movement for 90 days are flagged as slow-moving. Items with no movement for 180 days are classified as dead stock and reviewed quarterly by the Procurement & Inventory Executive for write-off, discount sale or return-to-vendor action.

6. Inventory Valuation

Inventory is valued using the Weighted Average Cost (WAC) method, updated at each Goods Receipt Note (GRN) transaction.